

lease it. A high residual value means that the car will not depreciate much during your lease; as a result, your payments will be lower.

But high residual value can be a drawback if you're planning to buy the car when the lease is over. If you do decide you want to buy the car, you may be able to bargain with the leasing company and get them to sell it to you for less than the residual value you previously agreed to in your leasing agreement. The best time to negotiate is just before the lease is up.

- **Your monthly payments.** Unlike when you buy a car, when you lease an auto, you want to focus on those monthly payments—and you want them to be as low as possible. The lower the payments, the less you'll pay out over the life of the lease. It's clear-cut.
- **The lease term.** You want to keep the length of the lease at about 36 months. If you opt for a longer term, you'll inevitably get stuck paying for expensive maintenance, like tire replacements or new brakes, which cars need as they age. Also, be sure you know what the penalties are for getting out of the lease early, and make sure this information is included in your agreement.
- **The total mileage you're allowed.** You'll also want to settle a few issues such as the total mileage you're allowed without being charged extra; compare this mileage limit to how much you actually drive.

↓ HOME EQUITY LOANS

If you own a home, you may be able to borrow money from your bank in the form of a home equity loan (HEL). Here's how it works. You're usually allowed to borrow a percentage of your home's value (traditionally 80%), *minus* the balance on your mortgage. So, for example, if you own a home